

Externalities

Suppose a car factory is located upriver from a fishery. The factory buys materials and labour, sells its cars and turns a profit. But a by-product of its production is a chemical that is released into the river. It flows down to the fishery and kills some fish. The impact of the chemical on the fishery is an externality: the factory creates a cost to the fishery that is not taken into account of in the market. When the factory decides how many cars to make it looks at the cost of materials and the price of cars – the lower output of fish doesn't enter into it. So the market has failed to bring the costs and benefits faced by the factory into line with those for society as a whole: the 'negative' externality can be seen as the factory producing 'too many' cars. Conversely, markets have a tendency to undersupply 'positive' externalities. Bees pollinate crops, but the beekeeper only considers the price of honey, not the benefit from his bees to the neighbouring farmer. Relative to the potential benefit overall, the beekeeper has 'too few' hives.

